Certificate on Basis of Offer Price

Date: February 25, 2026

To,

The Board of Directors
SEDEMAC Mechatronics Limited
Survey No. 270/1/A/2,
Pallod Farms,
Baner Road, Baner,
Pune 411 045
Maharashtra, India

Sub: Proposed initial public offering of equity shares of face value of ₹ 10 each (the "Equity Shares") of SEDEMAC Mechatronics Limited (the "Company" and such offer, the "Offer")

Dear Sir/Madam,

We, S K Patodia & Associates LLP, Chartered Accountants (Firm Registration No. 112723W/W 100962), an independent firm of chartered accountants, have been appointed by the Company in terms of the engagement letter dated April 15, 2025, as the independent chartered accountants in relation to the Offer. We have been informed that the Company proposes to file the (i) Red Herring Prospectus (the "**RHP**") with the Registrar of Companies, Maharashtra at Pune ("**Registrar of Companies**" or "**RoC**") and thereafter with Securities and Exchange Board of India ("**SEBI**")and the BSE Limited and National Stock Exchange of India Limited (collectively, the "**Stock Exchanges**") in accordance with the provisions of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended from time to time ("**SEBI ICDR Regulations**") and applicable laws and (ii) prospectus with the RoC and thereafter with SEBI and the Stock Exchanges (the "**Prospectus**"); and (iii) any other documents or materials to be issued in relation to the Offer (collectively with the RHP and Prospectus, the "**Offer Documents**").

We have been requested by the Company to verify certain financial information in connection with calculation of the basis for offer price of the Equity Shares in the Offer.

The maintenance and creation of all records is solely the responsibility of the management and the Board of Directors of the Company. The Company's management and the Board of Directors are responsible for the designing, implementing and maintaining internal control relevant to the preparation and presentation of the books of accounts.

We, S K Patodia & Associates LLP, Chartered Accountants, in connection with calculation of the basis for offer price of the Equity Shares in the Offer, have verified the following information with respect to the Company, extracted from the restated financial statements and other relevant records of the Company and certify as under:

1. **BASIC EARNINGS PER EQUITY SHARE ("EPS") (as adjusted for changes in capital, if any) on a basis, calculated in accordance with the Indian Accounting Standard 33 issued by the Institute of Chartered Accountants of India:**

Period	Basic EPS (in ₹)	Diluted EPS (in ₹)	Weight
Fiscal 2023	2.12	2.04	1
Fiscal 2024	1.45	1.39	2
Fiscal 2025	10.93	10.82	3
Weighted Average	**6.30**	**6.21**	
Nine months ended December 31, 2025	16.59*	16.35*	

**Not annualised*

Notes:

i) *Weighted average = Aggregate of year/period-wise weighted EPS divided by the aggregate of weights i.e. (EPS x Weight) for each year/Total of weights.*

ii) *Basic Earnings per equity share (`₹) = Net profit or loss attributable to equity holders of the Company (after deducting preference dividends and attributable taxes) by the weighted average number of equity shares outstanding during the period adjusted for bonus issue that have changed the number of equity shares outstanding, without a corresponding change in resources.*

iii) *Diluted Earnings per equity share (₹) = Net profit or loss attributable to equity holders of the Company (after deducting preference dividends and attributable taxes) by the weighted average number of potential equity shares outstanding during the period adjusted for bonus issue that have changed the number of equity shares outstanding, without a corresponding change in resources.*

iv) *Earnings per Equity Share calculations are in accordance with the notified Indian Accounting Standard 33 'Earnings per share'.*

v) *The figures disclosed above are based on the Restated Financial Information of our Company.*

vi) *The figures for the Nine months ended December 31, 2025 are not annualised.*

vii) *The Company has allotted 43,569,934 fully paid-up bonus equity shares of face value of Rs. 10 each, in the ratio of 1499:1 (i.e., 1,499 Equity Shares of face value of ₹10 for every one Equity Share of face value of ₹10 held) to the eligible shareholders as of the record date September 18, 2025 in accordance with the resolution passed by the Board at its meeting held on September 05, 2025 and pursuant to the resolution passed by the member of the company at an Extraordinary General meeting held on September 10, 2025.*

2. RETURN ON NET WORTH ("RoNW") on a basis:

Period	RoNW (%)	Weight
Fiscal 2023	7.44	1
Fiscal 2024	4.72	2
Fiscal 2025	15.48	3
Weighted Average	**10.56**	
Nine months ended December 31, 2025	17.39*	

*Not annualised

Notes:

i) *Weighted average = Aggregate of year/period-wise weighted RoNW divided by the aggregate of weights i.e. (RoNW x Weight) for each year/Total of weights.*

ii) *Return on Net Worth (%) = Profit for the period/year divided by Net Worth.*

iii) *'Net worth': Net Worth has been defined as the aggregate value of the paid-up share capital and all reserves created out of the profits and securities premium account and debit or credit balance of profit and loss account, after deducting the aggregate value of the accumulated losses, deferred expenditure and miscellaneous expenditure not written off, as per the restated statement of assets and liabilities, but does not include reserves created out of revaluation of assets, write-back of depreciation and amalgamation. Further, net worth has been computed as a sum of equity share capital, equity component of compulsorily convertible preference shares, reserves and surplus as of the last day of relevant period/year minus other comprehensive expense for the period/year.*

iv) *The figures for the Nine months ended December 31, 2025 are not annualised.*

3. NET ASSET VALUE ("NAV") per Equity Share as per last balance sheet:

NAV per Equity Share	Restated Financial Statements
As on March 31, 2023	28.45
As on March 31, 2024	30.57
As on March 31, 2025	71.57
Nine months ended December 31, 2025	94.02
After the Offer	
-At the Floor Price	[●]*
-At the Cap Price	[●]*
At Offer Price	[●]*

**To be computed after finalization of price band.*

Notes:

(i) Net Asset Value per Equity Share: Net worth divided by total of Number of equity shares outstanding as at the end of period/year and Number of Compulsorily Convertible Preference Shares outstanding as at the end of period/year. Denominator is adjusted for bonus issue that have changed the number of equity shares outstanding, without a corresponding change in resources.

(ii) 'Net worth': Net Worth has been defined as the aggregate value of the paid-up share capital and all reserves created out of the profits and securities premium account and debit or credit balance of profit and loss account, after deducting the aggregate value of the accumulated losses, deferred expenditure and miscellaneous expenditure not written off, as per the restated statement of assets and liabilities, but does not include reserves created out of revaluation of assets, write-back of depreciation and amalgamation. Further, net worth has been computed as a sum of equity share capital, equity component of compulsorily convertible preference shares, reserves and surplus as of the last day of relevant period/year minus other comprehensive expense for the period/year.

(iii) The Company has allotted 43,569,934 fully paid-up bonus equity shares of face value of Rs. 10 each, in the ratio of 1499:1 (i.e., 1,499 Equity Shares of face value of ₹10 for every one Equity Share of face value of ₹10 held)to the eligible shareholders as of the record date September 18, 2025 in accordance with the resolution passed by the Board at its meeting held on September 05, 2025 and pursuant to the resolution passed by the member of the company at an Extraordinary General meeting held on September 10, 2025.

4. Price/Earning ("P/E") ratio in relation to Price Band of ₹ [●] to ₹ [●] per Equity Share:

Particulars	P/E at the lower end of Price Band (no. of times)	P/E at the higher end of Price Band (no. of times)
Based on basic EPS for Fiscal 2025	[●]	[●]
Based on diluted EPS for Fiscal 2025	[●]	[●]

*to be computed after finalization of Price Band.

Industry P/E ratio

	P/E Ratio	Name of the company	Face value of equity shares (₹)
Highest	64.73	Schaeffler India Limited	2
Lowest	51.54	Bosch Ltd	10
Average	58.14		

Notes for Listed Peer:

(1) *The industry highest and lowest has been considered from the industry peer set. The industry average has been calculated as the arithmetic average P/E of the industry peer set disclosed in table below.*

(2) *P/E has been computed based on the closing market price on BSE as on February 20, 2026 divided by the Diluted EPS for the year ended March 31, 2025.*

Comparison of Accounting Ratios with Listed Industry Peers

Name of Company	Face Value (₹ Per Share)	Closing price on February 20, 2026 (₹)	Revenue, for Fiscal 2025 (in ₹ million)(1)	EPS (₹)		NAV (₹ per share)(3)	P/E(4)	RONW (%)(5)
				Basic	Diluted			
SEDEMAC Mechatronics Limited*	10	NA	6,583.63	10.93	10.82	71.57	NA	15.48
Listed Peers(2)								
Bosch Limited	10	35,214.30	180,874.00	683.25	683.25	4,682.43	51.54	14.59
ZF Commercial Vehicle Control Systems India Limited	5	15,224.50	38,309.63	242.90	242.90	1,697.00	62.68	14.31
Sona Blw Precision Forgings Limited	10	531.95	35,460.21	9.92	9.92	88.39	53.62	10.94
Schaeffler India Limited(7)	2	3,890.40	82,323.80	60.10	60.10	341.57	64.73	17.59

**Financial information for our Company is derived from the Restated Financial Information as at and for the Fiscal 2025.*

Notes for Listed Peer:

(1) *Revenue (for the year ended March 31, 2025) includes Revenue from operations.*

(2) *The financial information for the listed peer mentioned above is on a consolidated basis and is sourced from the annual report of the company for the financial year ended March 31, 2025 submitted to stock exchanges.*

(3) *Net Asset Value per Equity Share: Net worth divided by total of Number of equity shares outstanding as at the end of period/year and Number of Compulsorily Convertible Preference Shares outstanding as at the end of period/year. Denominator is adjusted for bonus issue that have changed the number of equity shares outstanding, without a corresponding change in resources.*

(4) *P/E has been computed based on the closing market price on BSE as on February 20, 2026 divided by the Diluted EPS for the year ended March 31, 2025.*

(5) *Return on Net Worth (%) = Profit for the year ended March 31, 2025 divided by Net Worth at the end of the year.*

(6) *'Net worth': Net Worth has been defined as the aggregate value of the paid-up share capital and all reserves created out of the profits and securities premium account and debit or credit balance of profit and loss account, after deducting the aggregate value of the accumulated losses, deferred expenditure and miscellaneous expenditure not written off, as per the restated statement of assets and liabilities, but does not include reserves created out of revaluation of assets, write-back of depreciation and amalgamation. Further, net worth has been computed as a sum of equity share capital, equity component of compulsorily convertible preference shares, reserves and surplus as of the last day of relevant period/year minus other comprehensive expense for the period/year.*

(7) *Financial information for peer - Schaeffler India Limited is on a consolidated basis and is sourced from the annual report of the company for the year ended December 31, 2024 submitted to stock exchanges.*

5. Weighted average cost of acquisition, Floor Price and Cap Price

We confirm that that there have been:

(a) no primary/new issue of shares (Equity Shares/convertible securities), excluding Equity Shares issued under the ESOP 2014 and ESOP 2025 and issuance of bonus shares, equal to or more than 5% of the fully diluted paid-up share capital of the Company (calculated on the pre-issue capital before such transaction and excluding employee stock options granted but not vested), in a single transaction or multiple transactions (combined together over a span of rolling 30 days) during 18 months preceding the date of filing of the Red Herring Prospectus.

(b) no secondary sale/acquisition of shares (Equity Share/convertible securities) by Promoters, Promoter Group, Selling Shareholders, excluding gifts, where either acquisition or sale is equal to or more than 5% of the fully diluted paid-up share capital of the Company (calculated on the pre-issue capital before such transaction and excluding employee stock options granted but not vested), in a single transaction or multiple transactions (combined together over a span of rolling 30 days) during 18 months preceding the date of filing of the Red Herring Prospectus.

Since there are no such transactions to report to under (a) and (b), following are the details basis the last five primary or secondary transactions (secondary transactions where Promoter or members of the Promoter Group or Selling Shareholders or Shareholder(s) having the right to nominate Director(s) on the Board, are a party to the transaction), not older than three years prior to the date of the Red Herring Prospectus, irrespective of the size of transactions.

(c) Set forth below are details of last five primary transactions and secondary transactions (where Promoters, Promoter Group entities or Selling Shareholders are a party to the transaction) during three years preceding the date of filing of the Red Herring Prospectus:

Primary transactions:

S. No.	Date of Allotment	Name of Allotee	Nature of Allotment	Issue Price per Equity Share (in ₹)(1)(2)(3)	Number of Equity Shares allotted	Total consideration paid (₹ in Millions) (1)(2)(3)
1.	May 31, 2024	A91 Emerging Fund II LLP, Devang Mehta, Devinjit Singh, Xponentia Benefits LLP, Xponentia Opportunities Fund II, Xponentia Opportunities Limited and Bhavya Kapoor	Conversion of Series A CCPS(3)	NA(3)	5,179	2,736.74
		A91 Emerging Fund II LLP, Capri Global Holdings Private Limited, Mace Private Limited, SVS Trust No IV, Xponentia Opportunities Limited and 360 One Monopolistic Market Intermediaries Fund	Conversion of Series B CCPS(3)	NA(3)	3,111	1,643.94
		A91 Emerging Fund II LLP, 360 One Monopolistic Market Intermediaries Fund and SAB Holdings Private Limited	Conversion of Series C CCPS(3)	NA(3)	1,343	709.68
		Mace Private Limited.	Conversion of Series D CCPS(3)	NA(3)	570	301.20
		A91 Emerging Fund II LLP	Conversion of Series D1 CCPS(3)	NA(3)	762	402.66
		Mace Private Limited	Conversion of Series E CCPS(3)	NA(3)	686	362.50
		360 One Monopolistic Market Intermediaries Fund, 360 One Special Opportunities Fund - Series 8, Rashi Mehrotra and NRJN Family Trust (represented by	Conversion of Series E1 CCPS(3)	NA(3)	3,247	786.37

S. No.	Date of Allotment	Name of Allotee	Nature of Allotment	Issue Price per Equity Share (in ₹)(1)(2)(3)	Number of Equity Shares allotted	Total consideration paid (₹ in Millions) (1)(2)(3)
		Entrust Family Office Legal & Trusteeship Services Private Limited)				
		Iron Pillar Fund I Ltd and Iron Pillar India Fund I (acting through IP Ventures Advisors Private Limited)	Conversion of Series F CCPS(3)	NA(3)	1,023	336.71
2.	July 31, 2024	A91 Emerging Fund II LLP, 360 One Special Opportunities Fund - Series 8 (*Formerly IIFL Special Opportunities Fund Series-8*) and 360 One Monopolistic Market Intermediaries Fund	Private placement	739,801.31	1,014	750.16
3.	August 25, 2025	Manish Sharma	Conversion of warrants(2)	NA(2)	20	20.00
4.	September 1, 2025	Prof. Shashikanth Suryanarayanan	Conversion of warrants(2)	NA(2)	40	40.00
5.	September 3, 2025	Amit Arun Dixit	Conversion of warrants(2)	NA(2)	100	100.00
		Anaykumar Avinash Joshi	Conversion of warrants(2)	NA(2)	60	60.00
		Total			**17,155**	**8,249.97**
		Total (Adjusted for Bonus(1))			**25,732,500**	
		Weighted Average Cost of Acquisition			**320.61**	

Notes:

(1)The Company has allotted 43,569,934 fully paid-up bonus equity shares of face value of Rs. 10 each, in the ratio of 1499:1 to the eligible shareholders in accordance with the resolution passed by the Board at it meeting held on September 05, 2025 and pursuant to the resolution passed by the member of the company at an Extraordinary General meeting held on September 10, 2025. The cost of acquisition of Bonus Shares is considered as Nil.

(2)The Company has issued convertible warrants to its promoters. The consideration paid at the time of acquisition and conversion of such warrants have been considered while calculating the total consideration and the same has been used for the purpose of calculating Weighted Average Cost of Acquisition. Accordingly the Issue price has been stated as NA.

(3)The Company has issued compulsorily convertible preference shares (CCPS) and the same were converted on May 31, 2024. The consideration paid at the time of acquisition of such CCPS by the holder have been considered while calculating the total consideration and the same has been used for the purpose of calculating Weighted Average Cost of Acquisition. Accordingly the Issue price has been stated as NA.

Secondary transactions:

S. No.	Name of Transferor	Name of Transferee	Date of Transaction	Nature of Transaction	Acquisition Price per Equity Share (in ₹)	Number of Equity Shares acquired
1.	NRJN Family Trust (represented by Entrust Family Office Legal & Trusteeship Services Private Limited)	Spark Midas Investment Fund I	September 3, 2025	Transfer	14,65,874	350
2.	Manish Sharma	PACE COMMODITY BROKERS PRIVATE LIMITED	September 10, 2025	Transfer	14,65,874	30
3.	Shashikanth Suryanarayanan	SARV INVESTMENTS LIMITED	September 10, 2025	Transfer	14,65,874	135
4.	Amit Dixit	SARV INVESTMENTS LIMITED	September 10, 2025	Transfer	14,65,874	40
5.	Mallika Iyer	SARV INVESTMENTS LIMITED	September 12, 2025	Transfer	14,65,874	12
				Total		**567**
				Total (Adjusted for Bonus[(1)])		**850,500**
				Weighted average cost		**977.25**

Notes:
[(1)]The Company has allotted 43,569,934 fully paid-up bonus equity shares of face value of Rs. 10 each, in the ratio of 1499:1 to the eligible shareholders in accordance with the resolution passed by the Board at it meeting held on September 05, 2025 and pursuant to the resolution passed by the member of the company at an Extraordinary General meeting held on September 10, 2025. The cost of acquisition of Bonus Shares is considered as Nil.

6. Floor Price and Cap Price as compared to the weighted average cost of acquisition based on past allotment(s)/ secondary transactions as set out below:

Past Transactions	Weighted average cost of acquisition (in ₹)	Floor Price (*i.e.*, ₹ [●])**	Cap Price (*i.e.*, ₹ [●])**
Weighted average cost of acquisition of primary transaction(s) (according to 5 (a) above)	NA	NA	NA
Weighted average cost of acquisition of secondary transactions(s) (according to 5 (b) above)	NA	NA	NA
Weighted average cost of acquisition (according to 5 (c) above)			
- Based on primary transaction(s)	320.61	[●]times	[●]times
- Based on secondary transaction(s)	977.25	[●]times	[●]times

** *To be included at the Prospectus stage*

We confirm that the information in this certificate is true, fair and correct and there is no untrue statement or omission which would render the contents of this certificate misleading in its form or context.

We have conducted our examination in accordance with the "Guidance Note on Reports or Certificates for Special Purposes (Revised 2016)" (the "**Guidance Note**") in accordance with the generally accepted auditing standards in India and other applicable authoritative pronouncements issued by the Institute of Chartered Accountants of India. The Guidance Note requires that we comply with ethical requirements of the Code of Ethics issued by the Institute of Chartered Accountants of India. These standards require that we plan and perform the examination to obtain reasonable assurance about the "Reporting Criteria". We hereby confirm that while providing this certificate we have also complied with the relevant applicable requirements of the Standard on Quality Control (SQC) 1, Quality Control for Firms that Perform Audits and Reviews of Historical Financial information, and Other Assurance and Related Services Engagements, issued by the ICAI.

This certificate may be relied upon by the Company, the book running lead managers appointed for the Offer ("**Book Running Lead Managers**" or "**BRLMs**"), and the legal counsel appointed by the Company and the BRLMs in relation to the Offer and to assist the BRLMs in conducting and documenting their investigation of the affairs of the Company in connection with the Offer. We hereby consent to extracts of, or reference to, this certificate being used in the Offer Documents or any other documents in connection with the Offer. We also consent to this certificate being presented and/or utilised for the purpose of any defence that the Book Running Lead Managers may wish to advance before any statutory/regulatory authority in connection with the Offer and / or the Offer Documents. We also consent to the submission of this certificate as may be necessary, to any regulatory authority and/or for the records to be maintained by the BRLMs in connection with the Offer and in accordance with applicable law.

We hereby consent to extracts of, or reference to, this certificate being used in the Offer Documents or any other documents in connection with the Offer. We also consent to the submission of this certificate as may be necessary, to any regulatory authority and/or for the records to be maintained by the BRLMs in connection with the Offer and in accordance with applicable law.

We confirm that on receipt of any communication from Company of any changes in the information, we will immediately communicate any changes in writing in the above information to the Book Running Lead Managers until the date when the Equity Shares allotted and transferred in the Offer commence trading on the relevant stock exchanges. In the absence of any such communication from us, Book Running Lead Managers and the legal advisors, each to the Company and the Book Running Lead Managers, can assume that there is no change to the above information. We further consent to the submission of this certificate on the Stock Exchanges' repository platform.

This certificate should not be used for any other purpose except as provided in this certificate.

All capitalized terms used herein and not specifically defined shall have the same meaning as ascribed to them in the Offer Documents.

Yours faithfully

For S K Patodia & Associates LLP
ICAI Firm Registration Number: 112723W/W 100962

DHIRAJ RAJENDRA LALPURIA
Digitally signed by DHIRAJ RAJENDRA LALPURIA
Date: 2026.02.25 12:28:04 +05'30'

Dhiraj Lalpuria
Partner
Membership No.: 146268
Place: Mumbai
UDIN: 26146268AOQBBD6998

CC:

Book Running Lead Managers		
ICICI Securities Limited ICICI Venture House, Appasaheb Marathe Marg, Prabhadevi, Mumbai 400 025, Maharashtra, India	**Avendus Capital Private Limited** Platina Building, 9th Floor, 901, Plot No C-59, Bandra Kurla Complex, Bandra (East), Mumbai, 400 051 Maharashtra, India	**Axis Capital Limited** 1st Floor, Axis House P.B. Marg, Worli Mumbai – 400 025 Maharashtra, India

Legal Counsel to the Company as to Indian Law	Legal Counsel to the Book Running Lead Managers as to Indian Law	Legal Counsel to the Book Running Lead Managers as to International Law
Cyril Amarchand Mangaldas 5th Floor, Peninsula Chambers, Peninsula Corporate Park, G.K. Marg, Lower Parel, Mumbai 400 013, Maharashtra, India	**Trilegal** One World Centre, 10th Floor, Tower 2A and 2B Senapati Bapat Marg Lower Parel, Mumbai 400 013 Maharashtra, India	**Linklaters Singapore Pte. Ltd.** One George Street #17-01 Singapore 049145